NOTE 20. - INCOME TAXES

The following is a summary of the components giving rise to the income tax provision (benefit) for the years ended December 31, 2014 and 2013.

The provision (benefit) for income taxes consists of the following:

	2014	2013
Current:		
Federal	$ -	$ -
State	-	-
Total current	-	-
Deferred:		
Federal	(3,494,787)	829,306
State	160,319	186,414
Total deferred	(3,334,468)	1,015,720
Change in valuation allowance	3,334,468	(1,015,720)
	$ -	$ -

The provision (benefit) for income tax varies from that which would be expected based on applying the statutory federal rate to pre-tax accounting loss as follows:

	2014	2013
Statutory federal rate	(34.0)%	(34.0)%
Permanent items	0.6	1.8
Derivative liability	8.4	35.5
Stock based compensation	2.5	-
State tax provision, net of federal benefit	1.1	0.5
Valuation allowance	21.4	(3.9)
Effective tax rate (benefit) provision	0.0%	0.0%

Individual components of deferred taxes consist of the following:

	2014	2013
Deferred tax assets:		
Net operating loss carry-forward	$ 4,775,536	$ 2,616,624
Derivative liability	-	21,725
Inventory reserve	17,713	19,584
Stock-based compensation	809,319	131,450
Start-up expenditures	388,130	-
Loss on equity investment	35,398	-
Severance liability	218,450	-
Other	6,561	1,292
	6,251,107	2,790,675
Deferred tax liabilities:		
Inventory	-	(52,445)
Fixed assets	(80,251)	(2,956)
Patents and trademarks	(624,010)	(523,157)
Other intangible assets	(21,986)	-
	(726,247)	(578,558)
Valuation allowance	(5,524,860)	(2,212,117)
Net deferred taxes	$ -	$ -

The Company has incurred a net operating loss of approximately $13,700,000 through December 31, 2014 and this amount is being carried forward to future years and expires in 2031 and 2032. Due to the uncertainty of the Company's ability to generate sufficient taxable income in the future before they expire, the company has recorded a valuation allowance to reduce the net deferred tax asset to zero. This NOL is included in the net deferred tax asset that has been fully offset by the valuation allowance.

ASC 740 provides guidance on the financial statement recognition and measurement for uncertain income tax positions that are taken or expected to be taken in a company's income tax return. The Company has no uncertain tax positions as of December 31, 2014.

The Company's federal and state tax returns for the years ended September 30, 2011 to December 31, 2013 are currently open to audit under the statutes of limitations. There are no pending audits as of December 31, 2014.